

you cannot pull the plug on the strategy and step to the side if it suddenly occurs in front of your eyes, no matter how painful it might be.

This type of advice is easy to give but very hard to follow. It is obvious common sense but most people need to go through some really tough market periods and probably do this several times before this starts becoming less difficult. The temptation to override your strategy when it does badly will always be there and you need to have a rule in advance about whether you are allowed to override, and, if so, under what conditions and in what manner. Never make the decision on the stressful bad day; just follow your predetermined plan.

To attempt to maintain your sanity, it might help to try to distance yourself from the monetary numbers. Try not to view the fund's assets as real money but merely a way of keeping score in the game, like Monopoly money. If you start thinking about what the million you just lost could have bought in the real world, you lose your perspective and risk further losses or missing out on the rebound. Even worse, never calculate what the recent loss means in terms of your own management fee or performance fee and what you would have done with that money. After all, it's just Monopoly money.

An unwritten rule says that hedge-fund managers should have a large part of their net worth in their own fund. There are, however, two sides of that coin. The common argument is that having your own money in the fund ensures that your financial interests are aligned with your investors, so that if they lose, you lose as well, and vice versa. This is of course true, but on the other hand, as manager, you make most of your money on the performance fee of the fund and so the interest should already be aligned. There is then the added psychological stress of having your own money in the fund. It is certainly a lot harder to look at the fund as Monopoly money if you have a large part of your own money in it. Many investors will see that as a good thing, forgetting that if managers can distance themselves from the asset values and take a more rational perspective on the strategy, the performance might in fact be better. Emotions and investment decisions make a very bad mix.